

NA HALE O MAKENA

Association of Apartment Owners

Managing Agent Delinquency & Collections Procedure

Supporting document for Agenda Item 6.7 — Delinquent-Payment Collections Policy

Board of Directors Meeting · July 23, 2026

Source: Procedure as described by Rena Tamura, Senior Account Executive, Destination Maui, Inc. (DMI), in her email response of July 10, 2026 to the President's request for details.

Contractual basis — Management Agreement §5 (Fiscal & Accounting Services)

Item (e): “To prepare a monthly accounts receivable statement indicating the total current delinquent amount of any unpaid assessments, together with an aging analysis.”

Item (k): “To maintain a record of each unit's history of payments; to prepare and mail delinquent notices; and to follow up on all delinquencies to effect collection of all amounts owed to the Association.” The Agent turns over to the Association's attorney any owner accounts delinquent in the 90-day-and-over aging range for the attorney to proceed with collection, demand, and/or lien filings.

How DMI notifies the Board

Delinquent accounts are listed in the monthly financial statements. DMI provides a status update on delinquent accounts during the executive session of the Board meeting, or at any time upon request.

Owner follow-up sequence

Delinquency	DMI action
30 days	A notice is mailed to the owner by regular mail.
60 days	A letter is mailed to the owner by regular and certified mail, and an additional phone call is made to the owner.
90 days	The account is forwarded to the Association's attorney for further review and possible collection action.

Turnover to the attorney (90-day-plus threshold)

At the 90-day-plus threshold, the account is turned over to the Association's attorney. From that point the attorney's firm continues collections, and the owner is advised to contact the Association's attorney to settle the account. DMI does not continue owner correspondence once the account is with the attorney.

Lien filing

Deed/ownership information for lien filing is provided by DMI. Liens are typically filed approximately 30 days after the Association's attorney sends the demand to the owner.

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DMI's ongoing support to the attorney

DMI typically provides account ledgers and email correspondence with the Association's attorney regarding any additional information required during the collection process.

This document summarizes DMI's current operational practice, as stated by DMI, for the Board's reference in connection with Item 6.7. It is not legal advice; DMI noted the same in its response.